



Market Finder Navigation & Analysis SOP

Purpose & Overview

This SOP provides a comprehensive guide for using the Market Finder feature to identify profitable real estate investing markets. Market Finder helps investors analyze key metrics across states, counties, zip codes, and neighborhoods to make data-driven decisions about where to focus their marketing efforts. By following this systematic approach, you'll be able to identify markets, zip codes, and neighborhoods with strong investor activity, favorable days on market, and optimal property characteristics for your strategy.

Key Metrics & Data Points

Market Finder displays several critical metrics that inform market selection:

- **Investor Transactions** – Total investor purchases over the last 6 months
- **Homes Sold** – Total residential sales in the selected timeframe
- **Sales Price** – Median and range data for recent transactions
- **Homes on Market** – Current active inventory
- **Days on Market** – Average time properties spend listed before sale
- **Monthly Investor Transactions** – Median monthly investor activity
- **Median Home Value** – Current property values in the area

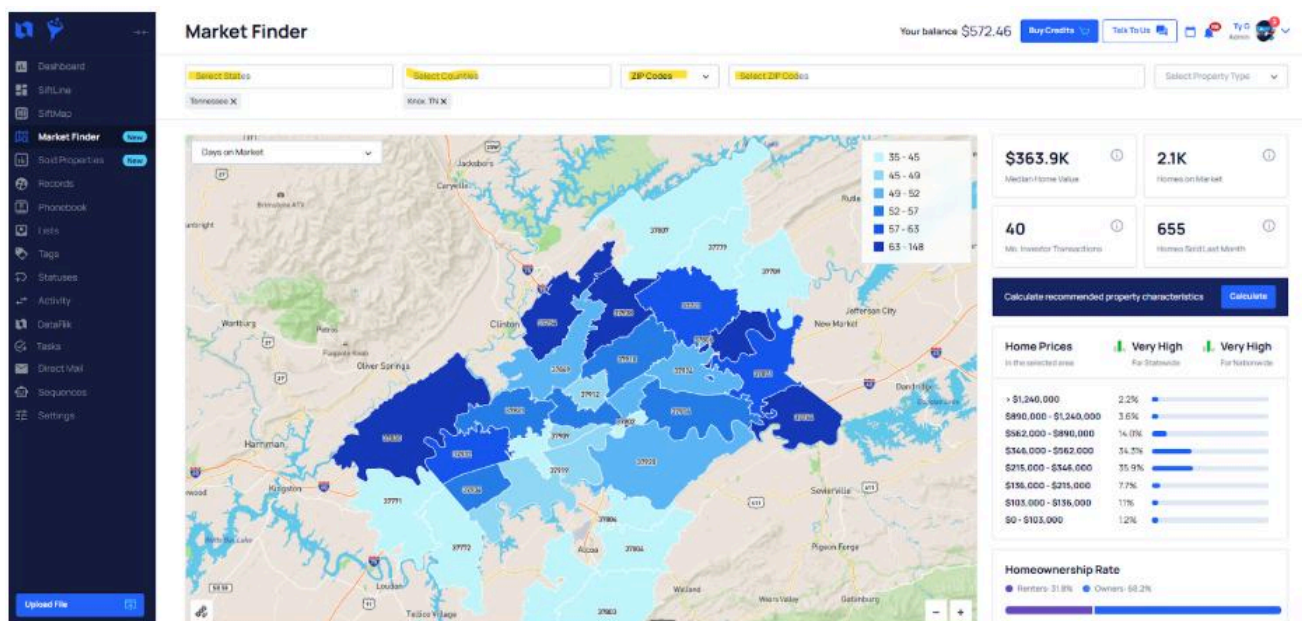
Navigation & Interface Overview

Top-Level Filtering

At the top of Market Finder, you can toggle between different geographic levels:

- **States** – Broad market overview
- **Counties** – Regional analysis within states
- **Zip Codes** – Neighborhood-level detail
- **Neighborhoods** – Hyperlocal market data

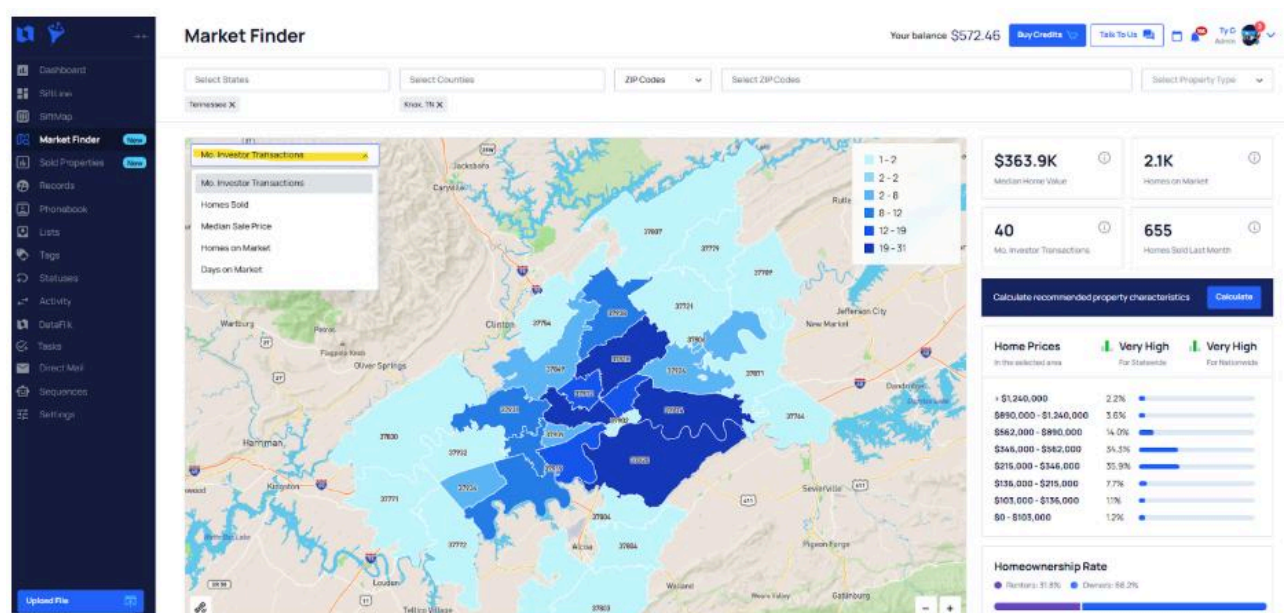
Important: You can only apply one geographic filter at a time – not multiple levels simultaneously.



Heat Map Controls

The left-hand side controls allow you to switch the heat map display between:

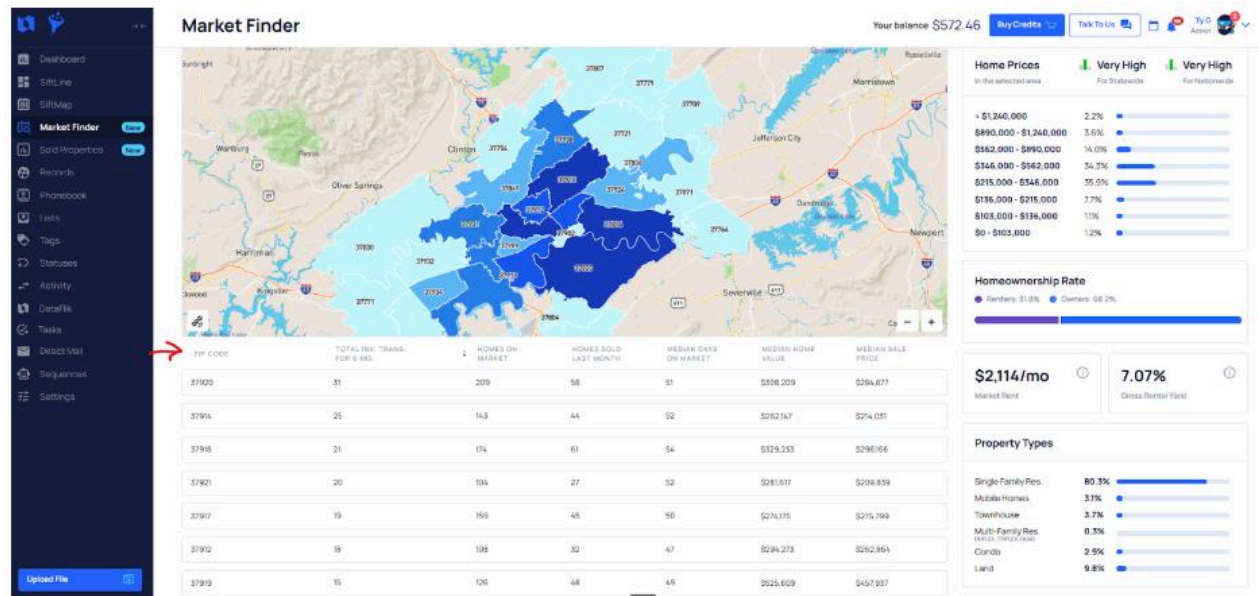
- Investor transactions
- Home sold volume
- Sales price ranges
- Homes currently on market
- Days on market averages



Data Table & Property Filters

The bottom table reflects whatever geographic area is currently filtered. On the right side, you'll find additional filtering options:

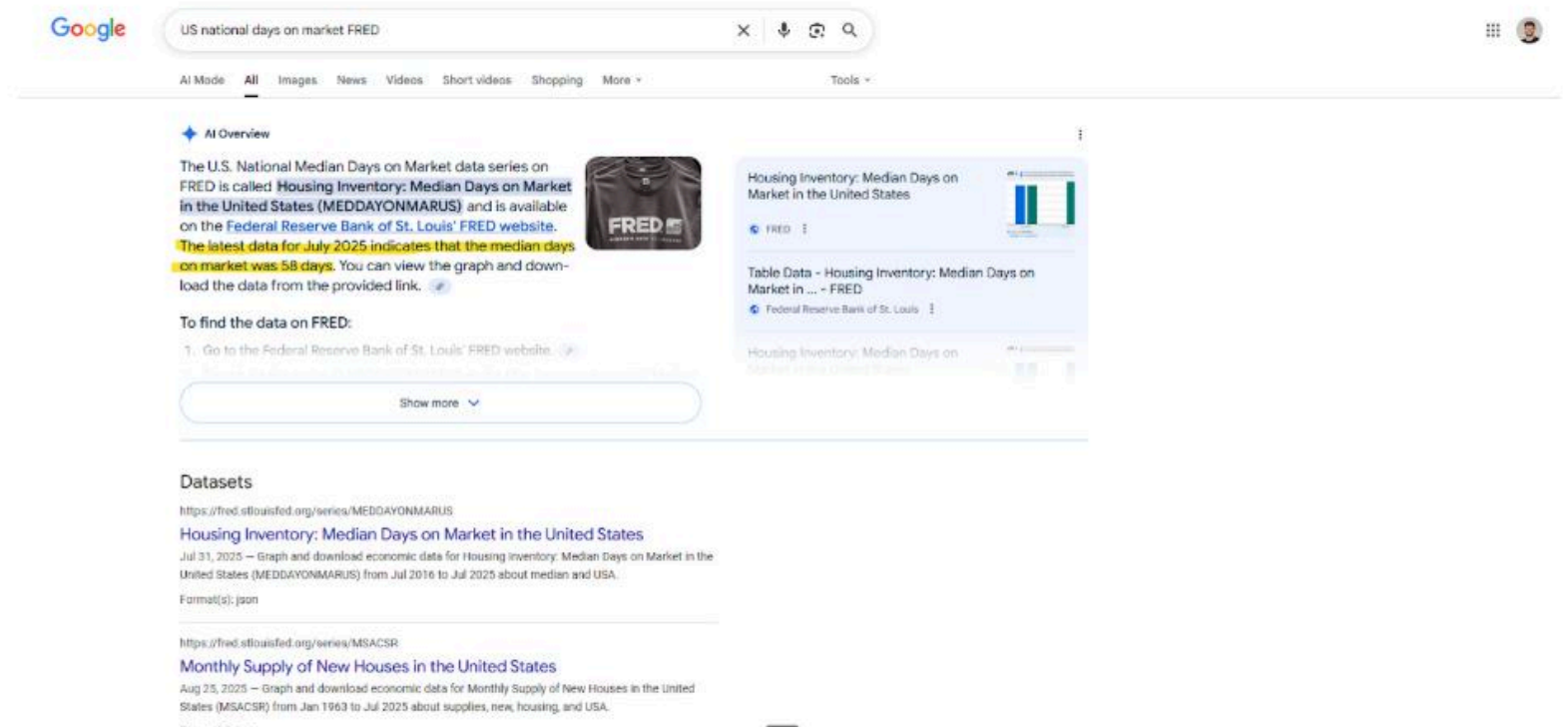
- Bedrooms
- Year built ranges
- Property types
- Homeownership rate
- Rental rate percentages



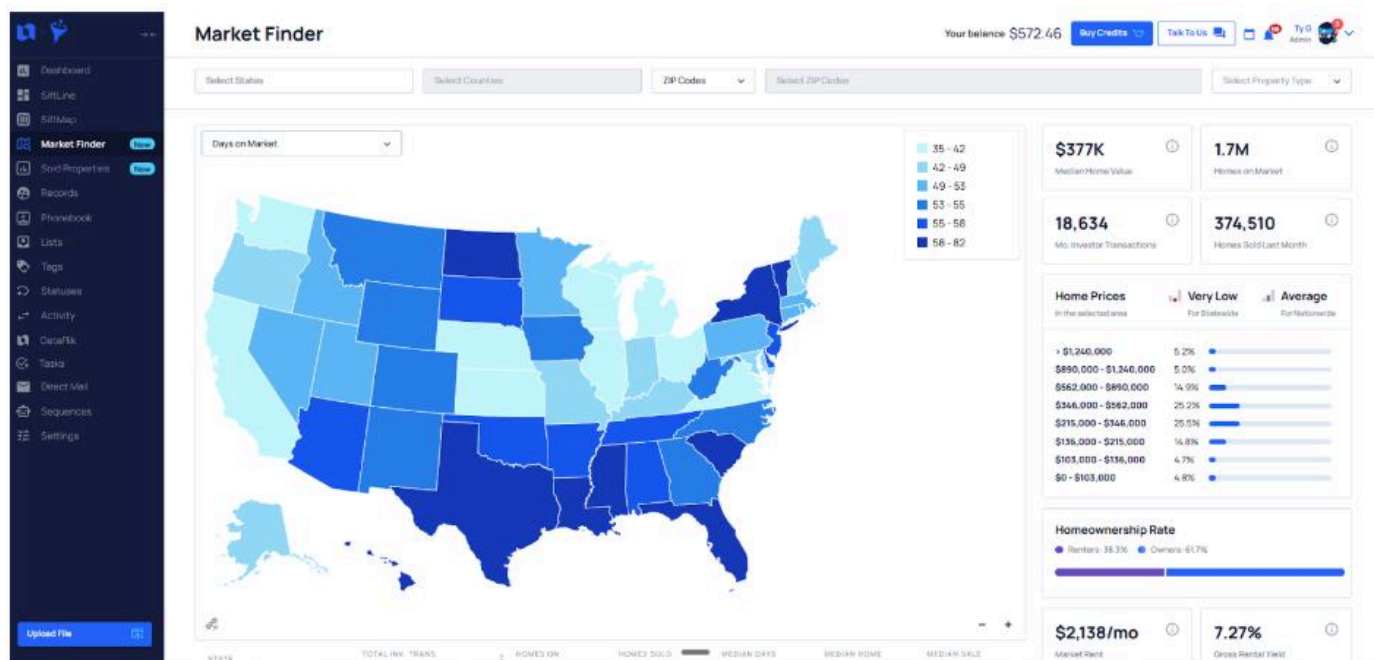
Step-by-Step Market Analysis Process

Before diving into specific markets, establish national benchmarks:

- 1. Get National Days on Market Baseline:** Visit FRED (Federal Reserve Economic Data) at fred.stlouisfed.org and search for "Days on Market" to get the current national median. This provides the most reliable baseline for comparison.

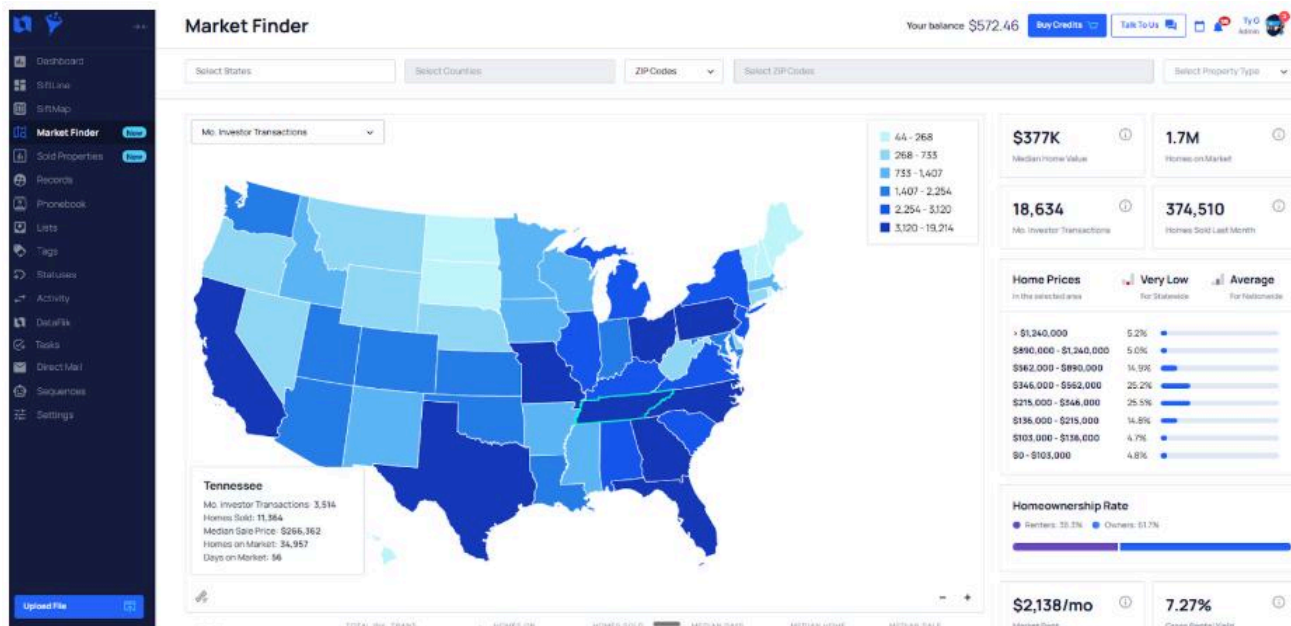


- 2. Set National Context:** In Market Finder, view the entire United States without any geographic filters to see nationwide metrics.



Step 2: State-Level Screening

- 1. Apply Days on Market Filter:** Switch the heat map to "Days on Market" view to identify states with favorable market conditions.
- 2. Compare to National Average:** Look for states where days on market is significantly below the national FRED baseline – this indicates faster-moving markets.
- 3. Evaluate Market Volume:** Switch to "Investor Transactions" view to see which states have substantial investor activity.
- 4. Cross-Reference Metrics:** Hover over states to see the popup data showing:
 - Total investor transactions (6-month period)
 - Current homes on market
 - Days on market average
 - Median home value



Decision Criteria: This is from an idealistic place, but you can obviously launch any market, just make sure that you factor in things like:

- Days on market
- Investor transaction volume
- How well do you know the market

In a perfect world, this is what you would be hoping for:

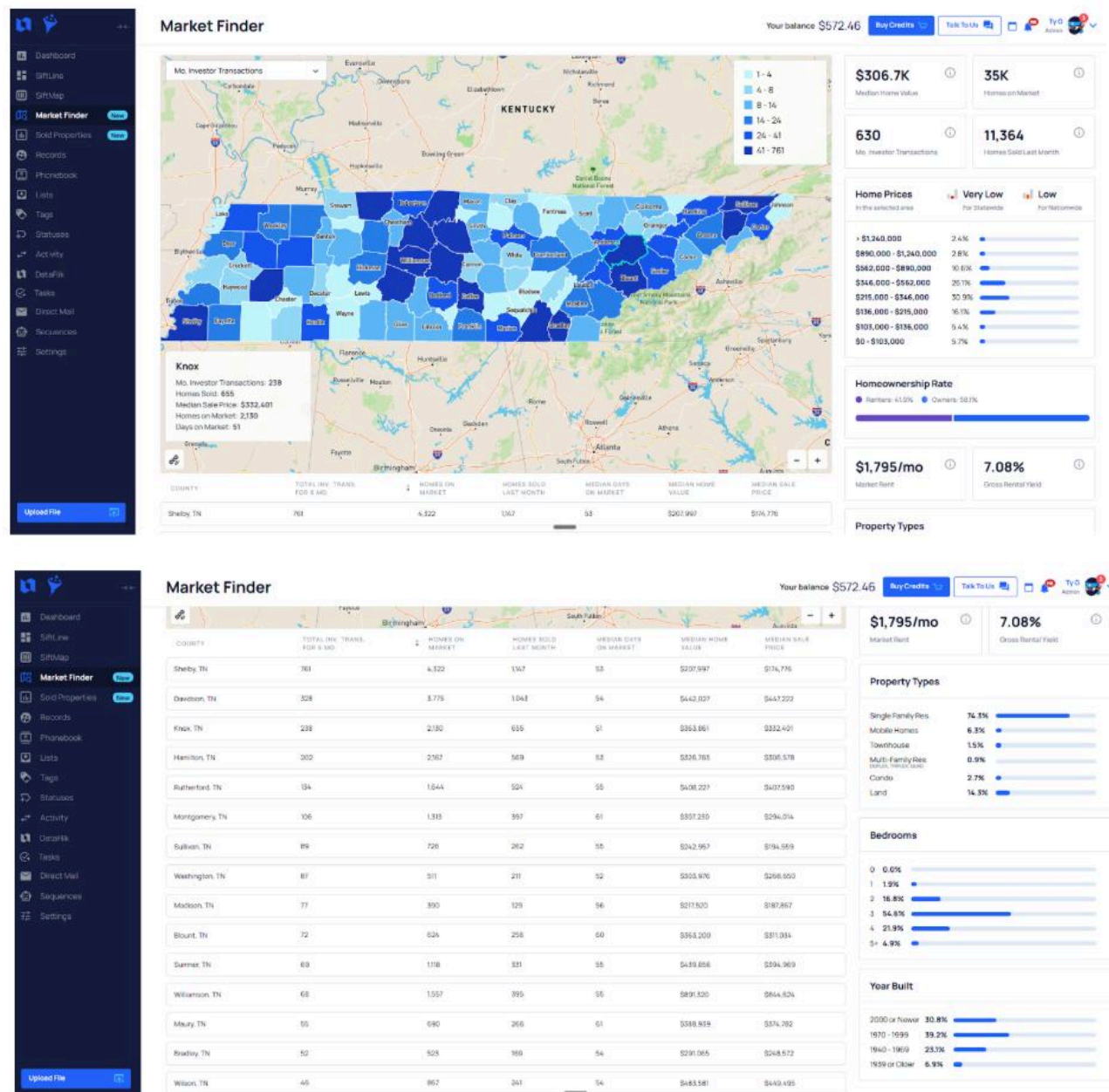
- Days on market at or 15–20% below the national average
- Substantial investor transaction volume (500+ in 6 months)
- Reasonable inventory levels (not too scarce, not oversaturated)

Step 3: County-Level Analysis

1. Select Target State: Click on your chosen state to zoom into county-level data.

2. Analyze the Data Table: The bottom table now shows all counties in the state. Key columns to evaluate:

- **6-Month Investor Transactions:** Look for consistent activity (50+ transactions)
- **Days on Market:** Compare to both national and state averages
- **Homes on Market:** Ensure adequate inventory exists
- **Monthly Investor Transactions (Median):** Indicates sustained activity



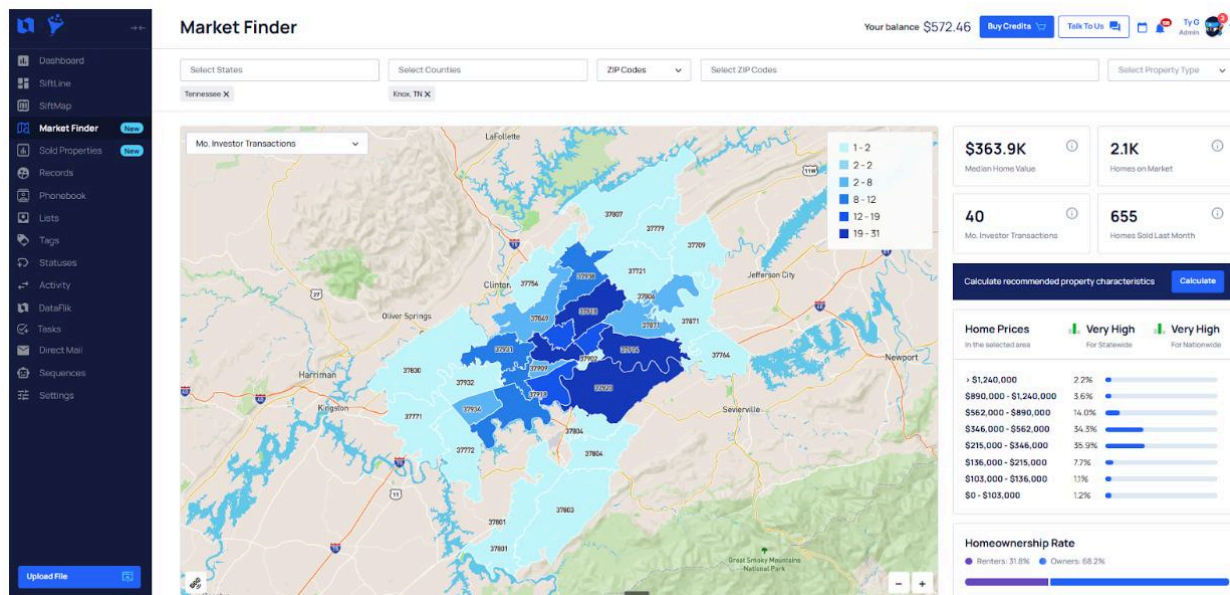
3. Identify Market Momentum: Calculate the "burn rate" by dividing homes on market by monthly sales volume. This shows how many months of inventory exist:

- 3-6 months = Balanced market
- Under 3 months = Seller's market (fast-moving)
- Over 6 months = Buyer's market (slower)

Important Note on Monthly Investor Transactions: The median calculation can be skewed by counties with mixed activity levels. Always review the full data table to understand the distribution. A county showing a low median might still have excellent zip codes if rural/farmland areas are bringing down the average.

Step 4: Zip Code Deep Dive

- 1. Select Target County:** Click on your chosen county to view zip code breakdown.
- 2. Map Selection:** Click individual zip codes on the map to highlight them. You can select multiple zip codes to compare side-by-side.

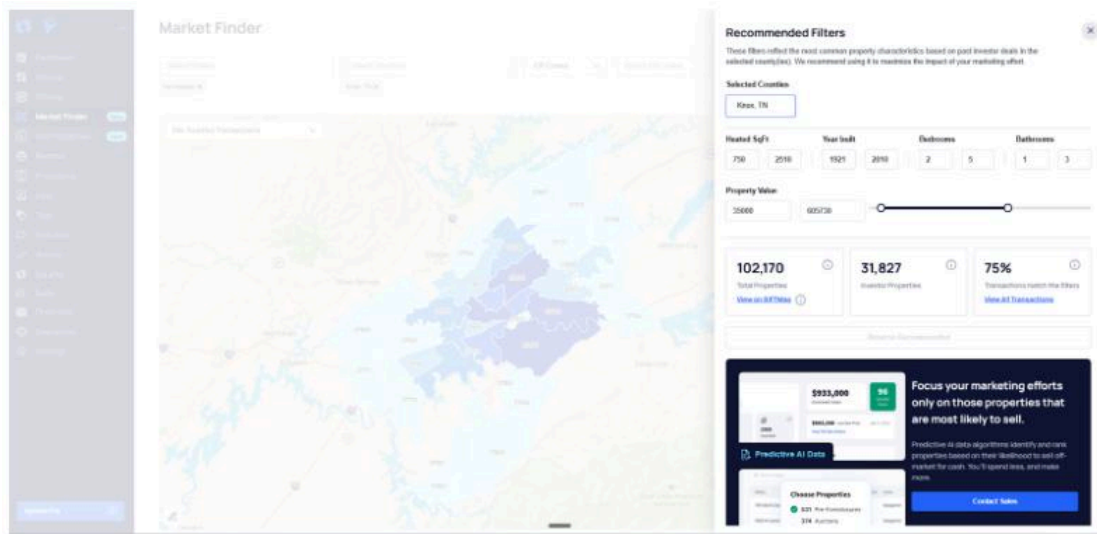


- 3. Analyze Zip Code Variations:** Within the same county, zip codes can vary dramatically:

- Urban vs. suburban vs. rural differences
- Price point variations
- Investor activity concentration
- Days on market disparities

- 4. Review Property Characteristics:** The middle section shows recommended property characteristics based on actual investor transactions in your selected area:

- Square footage ranges
- Bedroom/bathroom counts
- Year built preferences
- Property types

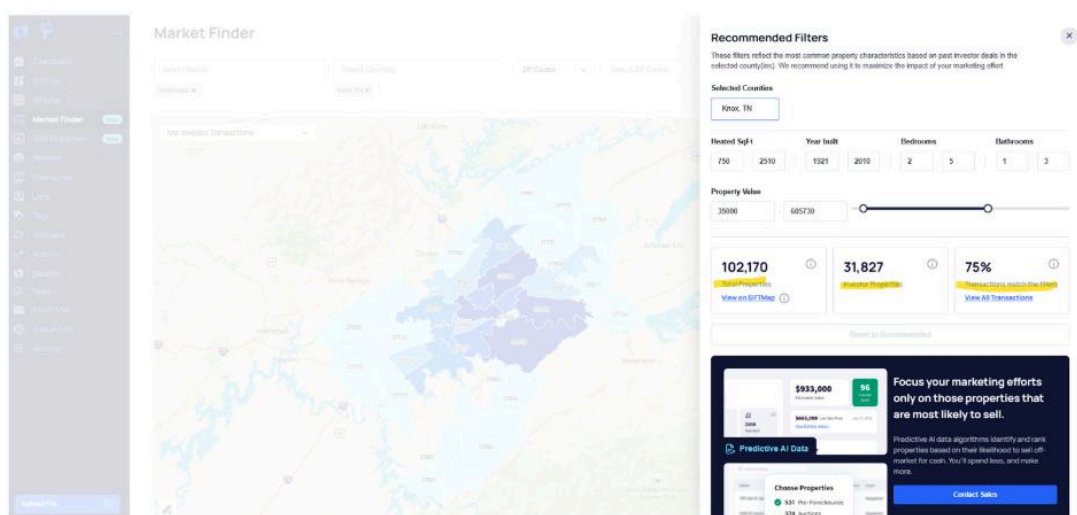


Step 5: Market Validation & Deal Flow Analysis

Understanding the Three-Card Metrics

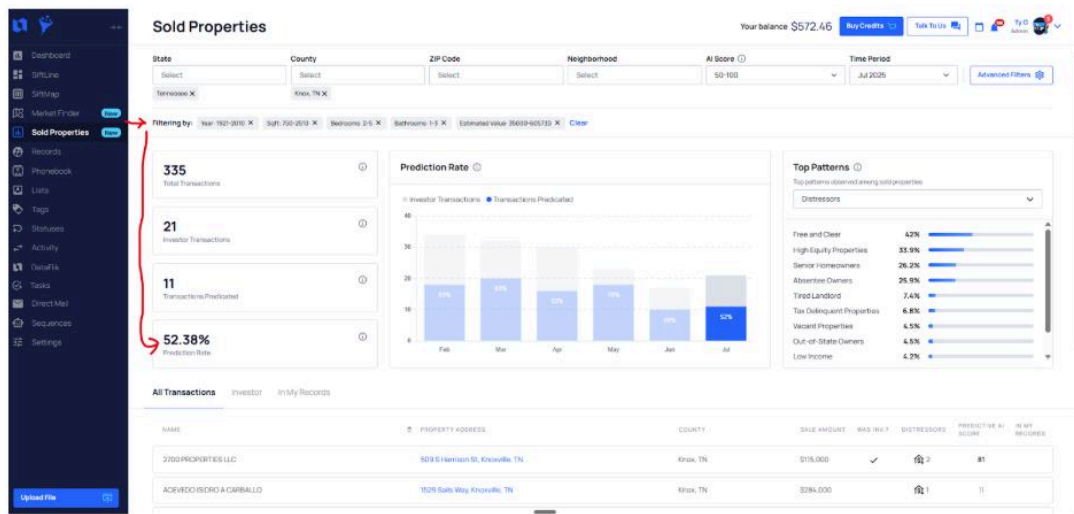
At the bottom, three key cards provide deal flow insights:

- **Total Properties Available:** Shows how many properties in the area match your investment criteria
- **AI Score Properties (for AI customers):** Properties with investor score over 50
- **Transaction Match Rate:** Percentage of recent sales that matched your criteria



Validation Process

1. Click "View Investor Transactions": This opens the Sold Properties tab with your filters pre-applied.

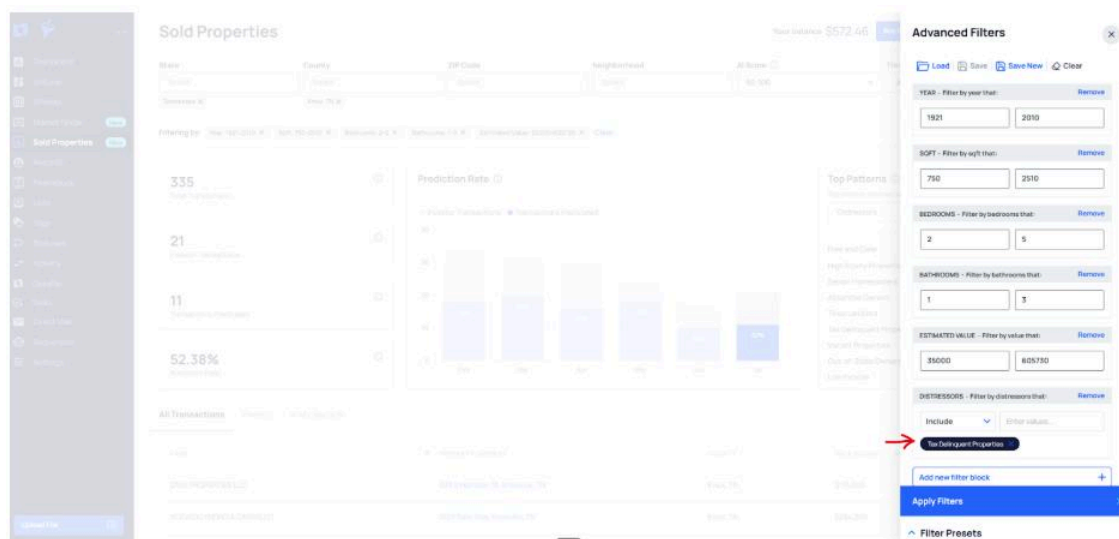


3. Verify Coverage Rate: Look at what percentage of recent transactions match your target criteria:

- 50%+ coverage = Strong market fit
- 30-50% coverage = Moderate opportunity
- Under 30% coverage = Consider adjusting criteria or different market

4. Adjust Filters as Needed: Use the advanced filters to refine your target:

- Add distress indicators (foreclosure, probate, tax delinquent)
- Filter for absentee owners only
- Adjust property characteristics



Best Practices & Decision Framework

Red Flags to Avoid

- **Low Inventory Markets:** Under 100 properties on market may indicate limited deal flow
- **Extremely High Days on Market:** 50%+ above the national average suggests a stagnant market.

- **No Recent Investor Activity:** Less than 10 investor transactions in 6 months
- **Massive Price Disparities:** If zip codes within a county vary by 300%+ in median price, focus on specific areas

Green Light Indicators

- **Consistent Investor Activity:** 20+ transactions monthly across multiple zip codes
- **Balanced Inventory:** 3–6 months of supply based on sales velocity
- **Days on Market Below National:** 10–25% faster than FRED baseline
- **Strong Transaction Coverage:** 40%+ of sales match your investment criteria

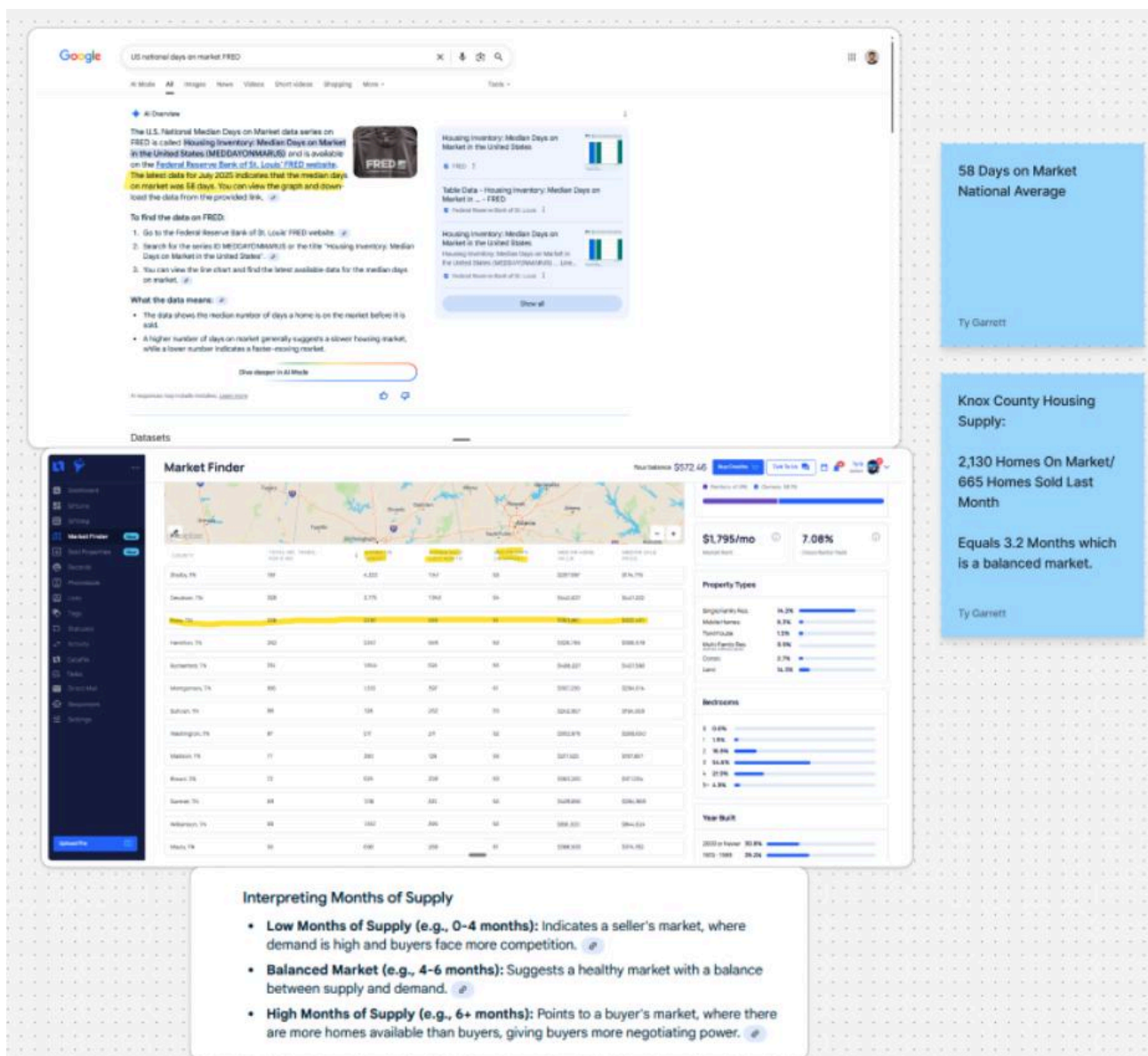
Market Momentum Calculation

Use this formula to assess market health:

$$\text{Months of Inventory} = (\text{Homes on Market}) \div (\text{Monthly Sales Volume})$$

Compare this to:

- National average months of inventory
- Historical data for the same market
- Seasonal variations



Next Steps & Implementation

After completing your Market Finder analysis:

- 1. Validate with Local Knowledge:** Cross-reference findings with local market expertise
- 2. Start Small:** Begin with 2–3 target zip codes rather than entire counties
- 3. Monitor & Adjust:** Review performance monthly and refine targeting
- 4. Scale Successful Markets:** Expand to similar zip codes once you prove success

This systematic approach to Market Finder ensures you're making data-driven decisions about where to focus your real estate investment marketing efforts, maximizing your ROI and deal flow potential.

